# *Standoff now likely to run through 2026*

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A deal over Hormuz is now unlikely this year. US success at increasing traffic through Hormuz and Iranian resilience in the face of stepped-up economi||||||||||||||

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Standoff now likely to run through 2026 as Hormuz traffic increases

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Scope for a deal has receded, with neither the US nor Iran shifting their negotiating positions and both seemingly ready to endure a standoff that lasts the rest of this year.
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Flows through Hormuz have increased to 7-8 million barrels per day (bpd), reducing pressure on the US to seek a rapid end to the standoff, though Iran will have an incentive to expand its attacks on shipping in order to shift the status quo in its favor.
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Oil market pressures have eased but not disappeared, and the steady increase in crude and product prices will be important factors in potentially shifting the US position, either toward escalation or renewed diplomacy.

A deal over Hormuz is now unlikely this year. US success at increasing traffic through Hormuz and Iranian resilience in the face of stepped-up economic pressure means the current standoff is now likely to last through 2026 (60%), as the prospect of a deal that once looked likely by year's end has receded (see: US-Iran standoff will drag on as urgency for a deal falls , 17 August 2026).

Iran is unwilling to shift its negotiation position, and the US appears uninterested in reviving the June agreement. While the status quo is likely to shift between now and year's end, it appears unlikely to shift enough to yield either a deal (15%) or a significant escalation in the conflict (25%).

A diplomatic breakthrough looks remote, with US sticking to "wait and see" approach. Though Iran and Oman have made progress on a new, albeit temporary arrangement for managing the Strait of Hormuz, Iran is demanding the US end the blockade and potentially release frozen funds before it will end its attacks on shipping. The US is not willing to make such concessions.

Rather than escalate or negotiate, the US posture has shifted to a pressure campaign, combining the naval blockade of Iran with pressure from sanctions, including threats of secondary sanctions against Iran's trading partners. Direct actions against China, Iran's largest trading partner, are likely to remain limited (see: Sanctions D-Day stops short of upending Trump-Xi summit , 25 August 2026).

Increased flows through the strait will sustain the standoff. The US approach is feasible largely because a key source of pressure—restricted Middle East oil flows and high oil prices—has been alleviated, at least for the time being. Flows through Hormuz have increased and now average 7-8 million bpd; combined with flows through alternative routes, regional exports are now at roughly 60% of prewar levels.

Much of the oil is flowing thanks to a US-sponsored “shuttle service” operated through the southern route hugging Oman’s coastline, with oil moving via ship-to-ship (STS) transfers (see: Oil leaking through the Gulf will help keep prices lower , 10 August 2026). While Iran continues to attack ships at regular intervals, tankers are operating under cover of air defenses, with current Iranian attacks proving ineffective at halting shipments.

Iran won’t capitulate, and its incentive to expand attacks will grow. US sanctions and the blockade will further weaken Iran’s economy, deepening social discontent. The regime can manage such threats, and its ability to export small amounts of oil despite the US blockade—by utilizing land routes or disguising Iranian oil as Iraqi—offers Iran’s leadership a lifeline to endure the US pressure campaign.

If the US continues to degrade Iran’s leverage in the strait by getting oil out, Tehran will have greater incentive to scale up its attacks and force the US back to the negotiating table. Likely vectors for Iranian action include broader strikes on ships, including those operating ship-to-ship transfers in the Gulf of Oman. Such actions would likely be calibrated but could trigger a more intense US response, increasing the risk of significant escalation (25%).

The crude market will keep tightening. Increased flows out of the strait give the US more time, but pressures on the oil market have not disappeared. Houthi attacks in the Red Sea have caused a decline in Saudi oil exports from Yanbu, which have fallen from 4 million bpd to 2-3 million bpd. With Chinese oil imports partially recovering from the summer lows of 5 million bpd to 7 million bpd, the global crude market continues to face a 4 million bpd deficit in the third quarter. This points to gradual but inexorable upward pressure on prices, absent a US-Iran deal that restores consistent transit through the strait.

Product prices will become a more acute source of pressure in the US. Like the persistently high price of crude oil, the rising price of products will remain a headwind for US President Donald Trump and a constant source of pressure, albeit one he can shrug off for now. Disruptions in global refining, combined with the elevated price of crude oil, mean that gasoline will remain above $4 a gallon. Diesel, which is under even greater pressure due to a shortage of refining capacity, is roughly fifteen cents away from exceeding its historical high of $5.80 a gallon. Planned maintenance of several North American refineries will likely add further pressure to prices. Absent a considerable increase in flows through Hormuz, it is likely these prices will remain high, or climb higher, in the months to come.

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